

Article | 11 September 2026

FX RATES UNITED STATES

FOMC preview: Fed set to hike 25bp in recalibration move

We changed our view to a 25bp Federal Reserve rate hike in September in the wake of Chair Kevin Warsh's address at the Jackson Hole symposium. The data since then has justified that decision. Our projections for jobs and inflation suggest no need for a series of hikes



We expect a 25bp hike on 16 September but think this will be a one-and-done affair

Fed hike not the start of a new tightening cycle

After sounding hawkish in June and then backtracking somewhat at the July FOMC press conference, Chair Warsh was under pressure to clarify the Federal Reserve's reaction function under his leadership at Jackson Hole. He emphasised a focus on inflation, which has been above target for five and a half years, and a sense that financial conditions aren't tight in an environment of full employment. This suggested we needed to change the way we thought about the September Fed decision. Previously, it was that the Fed would hold unless the data justified a hike. [That changed to the Fed hiking, unless the data justified a pause.](#)

August's jobs report came in hotter than anyone forecast in Bloomberg's survey of economists and the August CPI report showed headline inflation remains above target at 3.4% while core CPI rose 0.29% month-on-month, nearly double the 0.17% trend rate needed to bring annual inflation down to the 2% target. In an environment where business surveys have hinted at a

re-acceleration in economic activity over the summer and where the disruption to shipping out of the Middle East has pushed oil prices above \$100/bbl, Chair Warsh's emphasis on trends rather than individual data points suggests he has made his mind up to propose a hike. No-one on the FOMC is openly hostile and Treasury Secretary Scott Bessent is likely in favour as he nervously watches longer-dated Treasury yields climb. Even President Trump has seemingly given him a pass, saying "he'll do what he has to do."

Ordinarily the assumption is that if the Fed hikes, they don't just go once. Financial markets are now pricing two and a half further rate hikes after the all-but-assured 16 September move. However, this time around we think that one and done might be the case. Market and consumer inflation expectations remain in check while consumer confidence is at all-time lows, so we see parallels with the late 1990s cuts in early 1996 before a pause, then one "risk management" hike implemented by Alan Greenspan's Fed in March '97 before a long pause through late 1998.

ING's expectations for Fed forecasts versus the June Summary of Economic Projections

	2026	2027	2028	2029	Longer run
Change in real GDP (4Q YoY%)	2.2	2.3	2.2	2.2	2.0
Previous Fed projection (June)	2.2	2.3	2.2	-	2.0
Unemployment rate (% year end)	4.2	4.3	4.2	4.2	4.2
Previous Fed projection (June)	4.3	4.3	4.2	-	4.2
Core PCE inflation (4Q YoY%)	3.1	2.3	2.0	2.0	2.0
Previous Fed projection (June)	3.3	2.5	2.1	-	-
Federal funds rate (year end)	3.875	3.875	3.625	3.375	3.1
Previous Fed projection (June)	3.8	3.6	3.4	-	3.1

Since the Federal Reserve's last forecast update, we saw a weaker than expected 2Q GDP report, a softer trend in job creation, notwithstanding the August surprise, while inflation has shown some encouraging signs of decelerating, even if the year-on-year rate remains above 2%. We continue to argue that weak wage growth, tariff refunds and a stagnant housing market, which will slow shelter inflation, will all contribute towards a convergence on the 2% inflation target next year. The risk is energy prices. In general though, we expect the Fed to project slightly lower inflation than they had in their June forecast while the GDP and labour metrics are little changed. We expect them to have 4% as their end 2026 and end 2027 Fed funds forecast before it heads to their previous long-run projection for the Fed funds rate of 3.1%.

Unruly Treasury market circumstances warrant a controlling influence from the Fed

Chair Warsh will be very aware that the 10yr Treasury yield is looking for an excuse to mark at 5%. Now at 4.9%, it's been bullied up there partly by high inflation readings, and more

worryingly, a more recent slow ratchet higher in inflation expectations. These are not at sinister levels, but could do with some treatment from the Fed in order to at least help contain them. A 25bp hike could or should help. That said, whether the Fed hikes or not, the 10yr yield is liable to test 5%. It's up there mostly on account of higher real yields in fact. There is not much the Fed can do about that, to the extent that it reflects productivity growth expectations (the good), wider issuance pressure (the bad), or the evolution of the Iran war's effect on oil prices (the ugly).

He will also be cognisant that the 2yr carry spread (spread to the funds rate) has shot out to 90bp. Anything above 75bp on this metric and the market is giving the Federal Reserve the nod to hike. It does not telegraph when. But it lets the Fed know that it's braced and ready for a hike. It's actually a tad surprising that the probability of a September hike has not hardened by more on the back of this, but there is plenty of time for that to happen over the remaining days leading up to the meeting. In terms of the curve shape, we'd prefer to fade the flattening trend seen of late, as we think the carry spread has discounted more than it needs to, and the back end of the curve is primed to test higher regardless. See more [here](#).

Hike can help stabilise the dollar

The DXY dollar index is currently trading close to the centre of this year's 96-102 range. Yet that observation alone masks some reasonably large swings driven by US foreign policy (Greenland, Iran), Kevin Warsh's arrival at the Fed and most recently US Treasury intervention in FX and bond markets.

We think the dollar would welcome a hike in that it would back up the Fed's monetary policy credibility and take a little more steam out of the debasement trade. Remember that trade had evolved last year both from doubts over Fed independence and more recently from US Treasury intervention. Some modestly higher rates at the very short-end of the US curve won't hurt the dollar either.

At the same time, the dollar is under-appreciating the jump in energy prices, where terms of trade continue to tumble in both Europe and Asia. Despite a hawkish European Central Bank, we still favour EUR/USD working its way towards the 1.1500 area over coming weeks and see risks of a [correction back to 157/158 in USD/JPY](#) – especially if the Bank of Japan does not meet hawkish expectations when it sets policy two days later. A higher USD/CHF will also be in focus again as rate spreads move against the Swiss franc.

Yet the dollar does not need to rally too far. After all, we think this is a recalibration of Fed policy, not a new cycle. And our house view remains for the dollar to decline through next year – especially in the second quarter when US inflation is back down to target and money markets can switch their focus to easing from tightening. That means June's 101.80 likely marked the high point for the DXY this year.

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UNITED STATES

Sticky US inflation justifies a Fed rate hike

US headline and core inflation came in well above the 0.17% month-on-month trend rate required to bring the annual rate down to the Federal Reserve's 2% target. Given Fed Chair Kevin Warsh's hawkish spin at Jackson Hole, he will be pushing for a rate hike next week and a majority on the FOMC will likely agree.



US inflation is too high and we expect a one-off rate hike

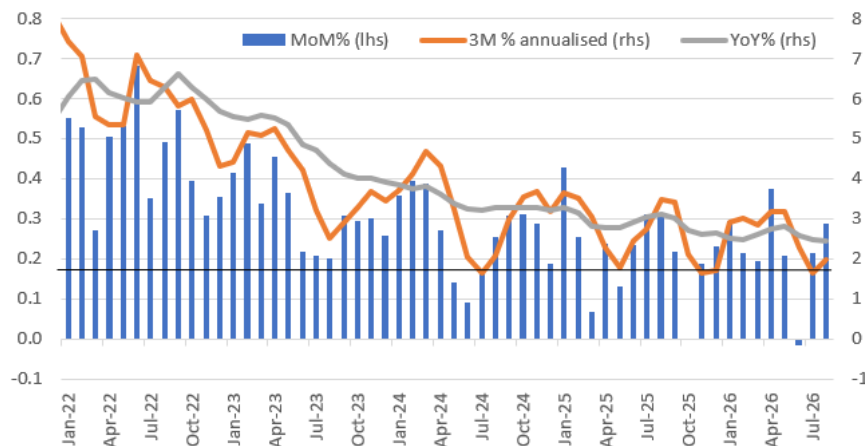
Inflation continues to trend too hot for comfort

US August CPI has come in to match the 0.4% month-on-month and 3.4% year-on-year consensus expectation. However, the core inflation index (ex-food and energy) rose 0.3%/2.4%, which is hotter than the 0.2% MoM expected. To three decimal places, it came in at 0.290% MoM. Remember, we need to average 0.17% MoM over time to bring the YoY inflation rate trending towards the Fed's 2% target. This outcome has reinforced market expectations of Fed policy tightening next week, with Fed funds futures contracts implying an 85% chance of a 25bp rate hike – an outcome that we fully expect.

The chart below shows the MoM, 3M annualised and YoY rates of core inflation. The black line marks 0.17% MoM, which is what the blue bars need to trend at to bring annual inflation down to 2%. The details show energy prices rose 2.1% MoM, led by a 3.9% jump in gasoline prices.

Higher fuel costs pushed airline fares 2.7% higher while education and communication prices jumped 1.6%. On the opposite end, apparel, recreation, food and housing were all benign. We should also remember that the Fed's favoured inflation measure, the core personal consumption expenditure deflator, is running even hotter at 3.3% YoY.

Core US inflation metrics (MoM%, 3M annualised, YoY%)



Source: Macrobond, ING

We expect a one-off hike

With Kevin Warsh warning that inflation has been above target for too long in an environment where the economy is at full employment and financial conditions aren't restrictive, there should be a decent majority of FOMC members backing a hike. Markets don't expect them to stop there, with Fed funds futures looking at potentially three further rate hikes over the next 12 months. We are not in that camp. If we see an improvement in energy flows from the Strait of Hormuz in coming months, fears of a renewed upswing in inflation will likely be proved wrong. Weak wage growth and tariff refunds provide relief on corporate costs and the cooling housing market will continue to dampen the shelter component of inflation. We, instead, think this is merely a recalibration of Fed policy, similar to the hike implemented by Alan Greenspan's Fed in 1997.

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JAPAN

Bank of Japan preview: 25bp hike incoming

The Bank of Japan meets on 18 September to set rates. A 25bp hike to 1.25% is widely expected, with the market close to pricing in a further 25bp hike by the end of the year. Money market rates have surged since June, raising the risk of a yen-negative reaction if the BoJ fails to confirm a more aggressive tightening cycle



Kazuo Ueda, Governor of the Bank of Japan

Why have rates moved so much?

The market's previous view on the BoJ tightening cycle had been that one 25bp hike would be delivered every six months. The terminal policy rate was always seen to be around 2.00%, but until recently investors expected the BoJ to take two years to get there.

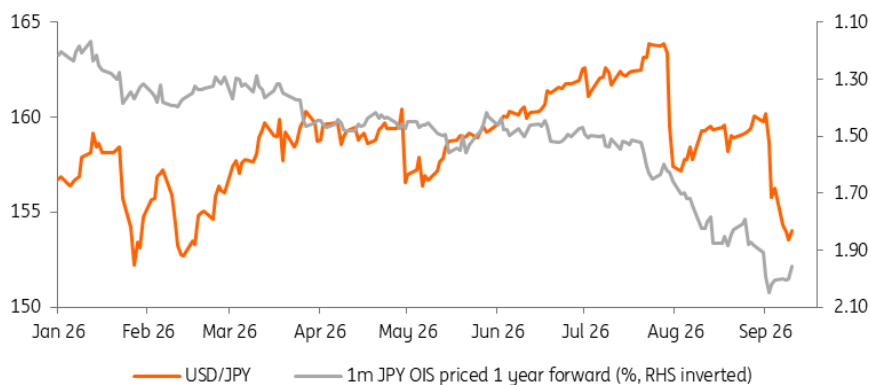
Since June, however, that pricing has shifted aggressively. One-month JPY OIS rates priced one year forward have risen a staggering 50bp since the start of July. What's changed?

It is hard to blame the renewed rise in energy prices for the re-pricing in money markets, since there was not a big re-pricing during the first surge in crude oil in March. Instead, it looks like the US Treasury's FX intervention in late July has played a significant role. Here, US Treasury

Secretary Scott Bessent has signalled that he expects the BoJ to raise rates at a quicker pace to provide macro support to the yen buying intervention.

Also helping the repricing has been local Japanese data. Real cash earnings rose by 2.4% year-on-year in July, reinforcing the narrative that producers will be able to pass on higher input costs.

Sharp repricing in short-dated rates weighs on USD/JPY



Source: Refinitiv, ING

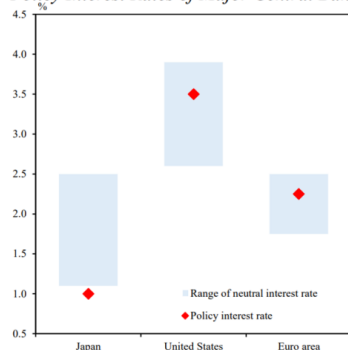
The BoJ's perspective

Formal communication from the BoJ this year has acknowledged that the real policy rate is negative and needs to be raised. Various BoJ speeches have discussed the concept of a neutral rate, which most see in the 1.1-2.5% range in nominal terms.

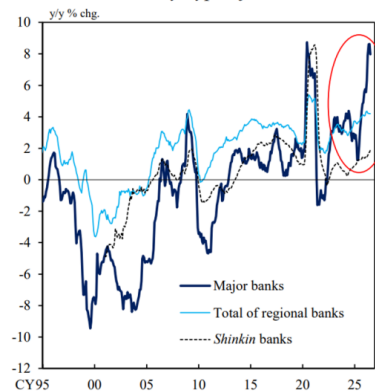
The diagram below has appeared in a few BoJ presentations recently and serves as a reminder that monetary conditions are too loose now that inflation is seen sustainably above 2.00% into FY2028. Among many of the positive charts in these presentations, one that stood out was the 10% year-on-year loan growth from 'Major Banks' – matching the peak from early 2020. Clearly, financial conditions are far from tight.

BoJ's views on neutral rates and loan growth

Range of Neutral Interest Rate and Policy Interest Rates of Major Central Banks



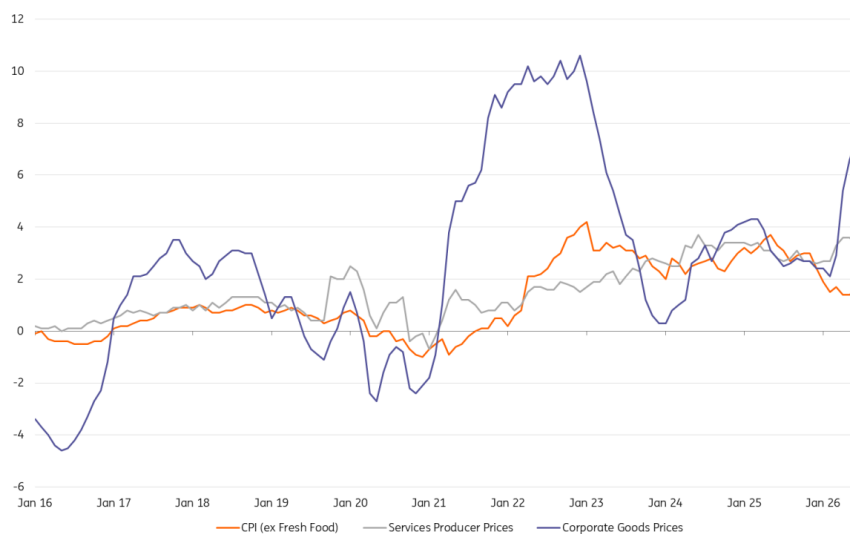
Loans by Type of Bank



Source: Bank of Japan

When it comes to prices, the BoJ narrative has firmly shifted towards inflation moving onto a sustainable path. One central theme now is that higher input/producer prices are more likely to feed through into broader CPI. The most recent Tankan business survey showed output price expectations rising sharply and the BoJ is focusing heavily on the 7% year-on-year growth in corporate goods prices.

Japan's measures of inflation (%, year-on-year)



Source: Refinitiv, ING

The decision

We doubt the BoJ would want to shock investors and Scott Bessent by leaving the policy rate unchanged at 1.00%. A 25bp rate hike to 1.25% looks likely. The marginally bigger risk than unchanged rates is a 50bp rate hike, perhaps as part of a broader understanding with Washington designed to sustainably push USD/JPY lower, reduce the need for large-scale dollar selling intervention from the BoJ and help stabilise JGBs.

However, the Japanese government has an aggressive pro-growth strategy and will no doubt express its views against a more aggressive tightening cycle. Maybe we are underestimating a shift here, but it is hard to see government officials backing a much faster tightening cycle of either a 50bp hike in September or back-to-back hikes in September and October. Instead, our house view is for two further 25bp rate hikes next January and April, which would take the policy rate to 1.75%.

A near-neutral 1.75% policy rate next April seems an appropriate target before the consumption tax on food and non-alcoholic beverages is cut from 8% to 1% that month for two years. That will sharply depress headline inflation – perhaps for the next two years – and would create a difficult environment in which to deliver further tightening.

FX: Yen bulls risk some disappointment

USD/JPY has already fallen sharply on expectations of faster BoJ tightening and speculation over major shifts in GPIF investment allocations, perhaps in late October. Before the BoJ meeting, USD/JPY will have had to contend with (ING's forecast) a Fed hike two days earlier and higher energy prices.

In FX, we see a greater risk that the BoJ fails to match heightened speculation over a follow-up rate hike in December, while October looks far too early. Equally, some may be disappointed if there is no news from the GPIF on the same day. If so, USD/JPY could be due a correction to the 157/158 area, where presumably more supply awaits ahead of potential policy announcements in late October.

For reference, the FX options market is pricing around a 200 yen pip range for USD/JPY on BoJ decision day.

Rates: The back-end to get more protection

The big theme going into this Bank of Japan meeting has been the marked widening of the carry spread (BoJ spread to the 2yr), which is out to the 80s bp area. That's the widest it's been during the current rate-hiking cycle. Typically, the widest carry spread would be at the initiation of the rate-hiking cycle. The fact that it's widest now points to a market discount for a degree of acceleration in the rate-hiking process. The absolute level of the carry spread points to the delivery of at least 50bp on top of the 25bp that we expect to be delivered at the upcoming meeting.

The 2/10yr curve in the meantime has flattened from the front end, broadly in tandem with the upside pressure that widened the carry spread. Indeed, longer tenor rates have managed to come off prior highs. This is particularly marked in the 30yr Japanese Government Bond benchmark yield. It had touched 4.2%, before gapping back down to just under 4% in the past couple of weeks. Much of this move gelled with the notion that the BoJ would inevitably hike at

the upcoming meeting, and for it to be a hawkish hike, one that was more cognisant of the inflation risks that had been compromising long-dated yields.

Delivery of a 25bp hike plus a hawkish tone should help consolidate, or at the very least, validate these moves. The 4+% area of the long end of the JGB curve remains a level that we would identify as offering structural value. Deep discount off-the-run low-coupon lines continue to offer generous absolute yields in the 5%+ region. These are remarkable valuations given where JGB yields have come from (practically from zero in 2019).

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FX RATES UNITED KINGDOM

Why the Bank of England might not be as hawkish as you think

Rising natural gas prices pose a serious headache for the Bank of England ahead of its 17 September meeting. But there's very little sign that inflation is broadening out beyond energy. And unlike the US and even the eurozone, it's harder to argue that rates aren't currently having a restrictive impact. We expect a 6-3 decision to keep rates on hold



Governor of the Bank of England, Andrew Bailey. We're expecting a 6-3 decision to keep rates on hold at next Thursday's meeting

Our Bank of England view in a nutshell

- We expect the Bank of England to keep rates on hold at 3.75% with another 6-3 vote at its 17 September meeting.
- A November rate hike becomes more likely only if energy prices stay consistently high – and there are reasons to think they won't.
- Unlike the ECB, we expect the Bank's doves to hold their ground and reiterate that the risk of second-round effects on inflation remains low. There's even a tail risk that Governor Andrew Bailey pushes back against market pricing for four rate hikes over the next year.

- Our base case is that the Bank keeps rates on hold until next year, when it will cut rates twice (April and November), though clearly the risk is that those cuts come later.
- We expect the Bank to cut the pace of quantitative tightening (QT) to £50bn for the next 12 months, down from £70bn last year.

A tough backdrop - but the case for rate hikes isn't compelling

The backdrop to this month's Bank of England meeting could hardly look more challenging. The rise in oil prices, and especially natural gas prices, raises the very real possibility that inflation could peak at or above 4% this winter. And 4% is a level that the Bank has previously said is statistically more likely to see inflation broaden out beyond energy prices via so-called second-round effects.

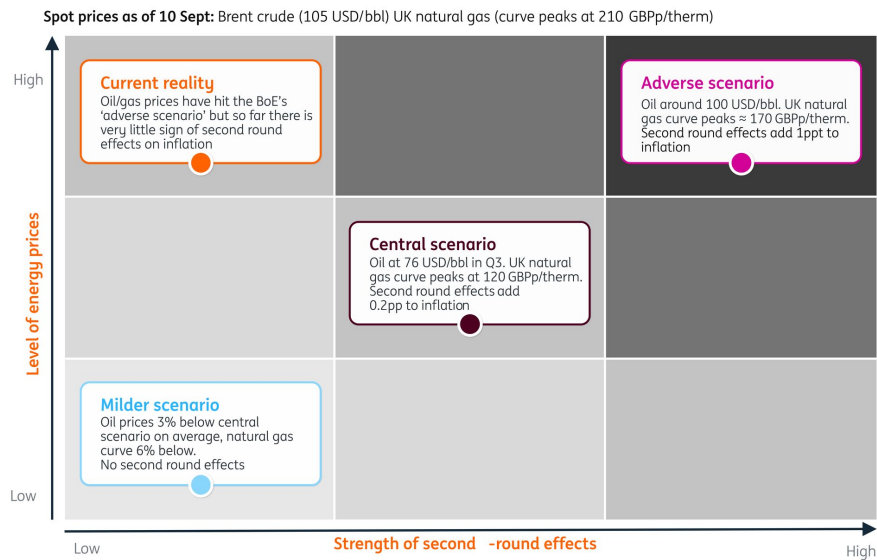
We're now living the Bank's adverse energy scenario that it laid out in its July projections – a scenario which its models suggested could warrant up to four rate hikes.

Yet there are good reasons to think that won't happen. And in sharp contrast to the European Central Bank this month, we don't expect the BoE to turn materially more hawkish at its September meeting.

Firstly, the Bank has consistently said that it is focused on the length of time energy prices stay at elevated levels. Today's prices are a problem if they stay high into November's meeting. But as our team's [energy base case](#) outlines, there are valid reasons to think they won't. And the sheer volatility of prices so far in this crisis warns us against extrapolating today's worrisome backdrop.

Secondly – and much more importantly – there is very little sign that the energy shock is broadening out to the wider inflation basket. That undermines a key assumption underlying the Bank's scenario, which was that the severity of second-round inflation effects increases disproportionately with the level of energy prices. Those July projections suggested that indirect energy effects would contribute one percentage point to inflation at the peak. The current evidence suggests it won't be anywhere near as bad as that.

The Bank's scenario framework - and where we stand now



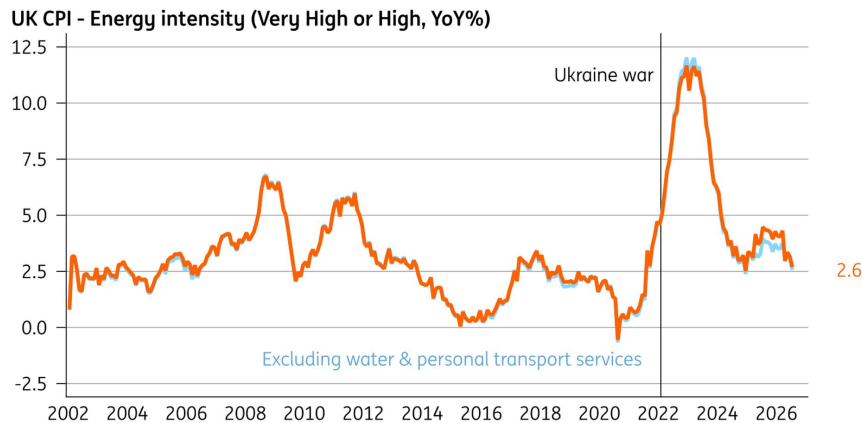
Source: Bank of England, ING

We've been tracking inflation for goods and services that are particularly energy-intensive, and it has actually fallen this year, even after you account for last year's water and car tax hikes. Food inflation has plummeted – from 3.6% in January to 1.3% in July – and producer price data suggests this could actually go to zero in the short term.

Sure, it's early days. All the models will tell you that you're unlikely to see the peak impact of higher energy prices on these categories for 12-18 months. But we should be seeing something already – and we're not.

It's a similar story with wage growth. At a little over 3%, once adjusted for quirks in the data, private sector wage growth is bang on the level the Bank believes is consistent with achieving its 2% inflation target in the medium term. And while this, too, is a slow-moving beast, there's next to no sign in the surveys that this is going to change.

Energy intensive inflation has fallen this year



Source: Macrobond, ING

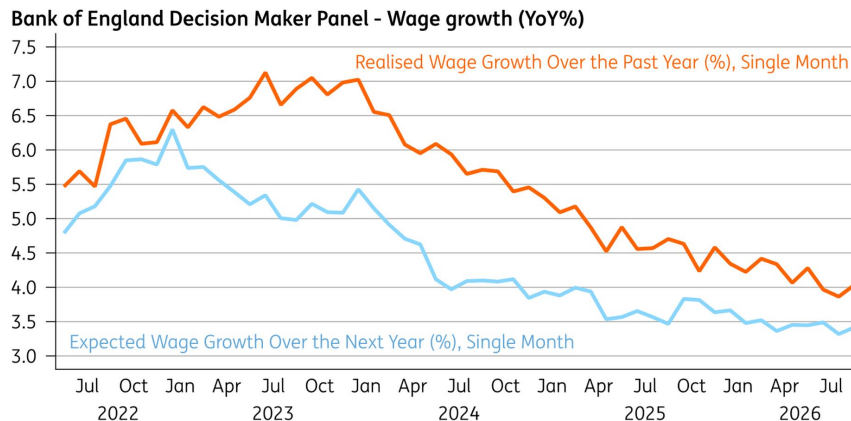
It's hard to argue that rates aren't currently restrictive

The jobs market remains fragile. Rate-sensitive sectors like construction are particularly weak, even if the overall UK growth story is receiving an increasingly noticeable boost from AI. So unlike the US or even the eurozone, where there is a live debate about whether monetary policy is restricting activity at the current level of interest rates, that is a much harder argument to make in Britain.

That's particularly true when you consider that the UK is virtually the only major economy engaging in material fiscal tightening this year. Tax as a share of GDP is set to rise by half a percentage point in the current fiscal year, given the ongoing freeze in tax thresholds. There remains a question mark over how this will change in the October budget, but the scope for material fiscal stimulus under the current fiscal rules is extremely limited. The recent rise in bond yields appears to be focusing minds in Westminster, too.

A rate hike in November is not impossible, but it is not inevitable. We're sticking to our base case that the Bank will keep rates on hold into next year. If energy prices ease and become less volatile, there is still a valid case for rate cuts in 2027.

Wage growth expectations remain low



It's worth remembering that the Bank's committee is deeply divided. Three officials have already voted for a hike – and will do so again this month. But the gap between them and the six doves appears large. Even Clare Lombardelli, who was previously closely aligned with the hawks, said after July's meeting that the decision to keep rates on hold wasn't a difficult one.

The Bank's doves appear increasingly confident that the UK economy is much less susceptible to another 2022-style inflation wave. The July meeting minutes show that, if anything, those views have hardened since the start of the crisis.

The key question for this meeting is whether there's any sign that the doves, en masse, are moving closer to a hike. We suspect they won't. There's even a risk, though probably small, that Governor Bailey opts to push back against market pricing – which now looks extreme.

Back in April – when the ECB was busy talking up the chances of a hike – Bailey came out and said that markets were “getting ahead of themselves” on rate hikes. Back then, two rate rises were priced in. Now, there are four. This would be a bold shout in the current market environment, but it is definitely something to watch for at next Thursday's meeting.

Quantitative tightening – keeping it simple

With all that in mind – and given how fragile bond markets are right now – it might be tempting to conclude the Bank should significantly wind down its quantitative tightening programme. That looks unlikely, though officials are widely expected to slow the pace of balance sheet reduction for the next 12 months, relative to the last.

Over the past 12 months, the Bank's bond holdings have shrunk by roughly £70bn through a combination of circa £50bn redemptions and £20bn active sales. The level of redemptions over the next 12 months is set to be reduced to £28bn – and we suspect the Bank will opt to keep its active sales roughly stable.

That points to a QT 'envelope' of £50bn for the coming year, which is fairly consensus. And the Bank has a habit of delivering on those consensus expectations. The strong rise in gilt yields is still mostly an inflation story, which means a slowdown in QT does not change the bigger picture.

GBP rates gripped by external factors

Given the sharp contrast between our own (and the consensus) Bank of England view and market pricing right now, it begs the question of when the two might start to converge.

The truth is that external factors currently have a stronger grip on rate markets than the Bank of England. That means oil and US rates will likely stay in the driving seat for now. For every \$10 increase in oil prices, gilt yields rise by some 10-15bp. Meanwhile, a strong rise in US real rates is adding upward pressure to UK interest rates too. Higher real rates are being driven by better-than-expected growth but also concerns about significant bond supply to absorb, from both governments and AI investments.

We therefore expect volatility in the gilt market to remain high for the time being. Only when second-round inflation risks soften in 2027 do we see more scope for yields to settle lower.

Sterling – remarkably low volatility

EUR/GBP continues to trade in exceptionally tight ranges, suggesting some kind of equilibrium has been found in the 0.85-0.86 range. The big cyclical question for sterling is when expectations of a 100bp BoE tightening cycle drop out of money markets and weigh on the pound. Were Governor Bailey to push back against those expectations at the September meeting, EUR/GBP would probably break higher. We have a 0.86 EUR/GBP forecast for end-September and a 0.87 view for year-end on the assumption that some of that aggressive BoE tightening is priced out.

But the main observation for EUR/GBP is its incredibly low volatility. Three-month realised volatility is about the lowest in twenty years. That makes it cheaper to buy FX options protection for corporates ahead of what could be a volatile period for financial markets. Be it the threat of higher bond yields taking down global equity markets or the new Burnham government trying to thread the needle of higher social spending and fiscal restraint, volatility levels will struggle to get much lower. Higher volatility not only weighs on sterling by undermining the carry trade (which is helping sterling currently), but the source of that volatility – probably from the financial sector – is a sterling negative too.

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Article | 10 September 2026

ECB remains focused on the here and now

At today's press conference, ECB President Christine Lagarde didn't give away any hints about what will be next for the central bank. Details of the ECB's staff projections, however, have left a hawkish aftertaste



Today's meeting left a slightly hawkish aftertaste, but we still struggle to envisage the ECB being willing to add more fuel to the fire

Lagarde's comments at today's press conference stressed that the ECB remains on high alert but also indirectly admitted it is in no better position than anyone else in financial markets; the only thing that's currently clear about the outlook (for monetary policy) is that nothing is clear. In other words, the outlook for the ECB's monetary policy remains highly dependent on both the external environment (mainly energy prices) as well as the pass-through of high energy prices into the rest of the economy.

Today's rate hike was a no-brainer

Even if the ECB doesn't like the term, today's rate hike decision – which brought the central bank's deposit rate to 2.5% – still falls into the category of an 'insurance' rate hike. Or, to put it in terms the Bank might prefer, it is a hike to stay ahead of the curve, demonstrating the ECB's high level of vigilance, and an attempt to prevent higher energy prices from feeding through to the broader economy.

While the stage was set for a rate hike, even under a more benign energy price outlook, the recent escalation in the Middle East and surge in oil prices have clearly strengthened the case for an increase. This is despite the fact that other inflation measures, like core and services, as well as survey-based inflation expectations, still suggest there are hardly any second-round effects from higher energy prices.

This picture is reflected mainly in the latest round of staff projections, which show inflation unchanged at 3% this year. For 2027 and 2028, the inflation forecast was revised upwards to 2.5% and 2.1%, respectively. Core inflation is expected to come in at 2.5%, 2.6% and 2.3% in 2026, 2027 and 2028, respectively. Growth was revised upwards slightly to 0.9% this year and 1.4% in 2027 (and 1.5% in 2028). Looking at the quarterly profile of the forecasts, inflation would only drop below 2% by the end of 2027. In the ECB's mild scenario, inflation would already be below 2% by the second quarter of 2027 – but in an adverse scenario, it would remain close to 3% by the end of 2028. Still, don't forget that the recent surge in bond yields and oil prices has not been fully incorporated into these forecasts.

Hawkish aftertaste

Considering the latest developments, today's rate hike wasn't controversial; it was almost a no-brainer. In light of higher actual and projected headline inflation, bringing the policy rate to the upper end of the range that the ECB itself calls 'neutral' did not pose any risk of being too activist or too restrictive. Even if Lagarde tried to downplay the concept of neutral interest rates during the press conference, at least as a guiding concept. In any case, the harm of doing nothing, at least for the ECB's credibility, is clearly more significant here. However, looking beyond today's hike paints a very different picture and is much more complicated.

Going further would mean that the ECB sees restrictive monetary policy as necessary. But there is a big difference between an economy that has shown resilience and an overheating economy that needs restrictive monetary policy. However, we have to admit that, looking at the ECB's staff projections, forecasting inflation above target for too long and the fact that these forecasts are based on interest rates pricing in between one and two more rate hikes, the risk of at least another rate hike is high. The counterargument to that view is that, with the highly volatile situation in energy markets, oil prices could also easily swing back in the other direction – which, in turn, would lead to significant changes in the ECB's inflation forecasts. In other words, if the situation in the Middle East were to ease before year-end and any indirect effects from higher energy prices remain absent, the need for the ECB to deliver additional rate hikes would disappear.

All in all, today's meeting left us with a slightly hawkish aftertaste. Even if we still find it hard to see – amid public finance woes and surging bond yields – that the ECB would really be willing to add more fuel to the fire. In other words, it's difficult to envisage the ECB being willing to risk a recession to tackle what is still a textbook supply-side shock. Admittedly, though, the ECB has made policy mistakes before.

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Article | 16 September 2026

TMT INDIA PHILIPPINES

Why India and Philippines aren't losing the AI battle – yet

AI disruption fears look premature in India and the Philippines. India's business services exports have more than doubled as a share of GDP since Covid, as the Philippines digitally delivered services exports grow even as the mix shifts. The evidence points to adaptation, not decline. AI is reshaping what gets outsourced, not shrinking demand for it



Why AI matters for India and the Philippines

India and the Philippines have long emerged as global outsourcing powerhouses, leveraging skilled labour, English proficiency, and cost competitiveness to build large software, IT, and business services sectors.

The rise of AI, therefore, matters disproportionately for both economies. Many outsourced services involve routine tasks that AI can increasingly automate, raising questions about the future of services exports and employment.

The stakes are high. The Philippines accounts for an estimated 15-17% of the global business process outsourcing (BPO) market, while India commands more than half of the global outsourcing industry. These sectors are important export earners, generating more than \$40bn in annual revenue in the Philippines and around \$205bn in software services exports in India. But they're also major sources of employment in the Philippines and India, supporting roughly 1.9 million and 5.8 million workers, respectively.

The sector's resilience matters because services exports play a critical role in financing persistent current account deficits of both economies. In the Philippines, telecom and business services exports amounted to around 7% of GDP in 2025, more than offsetting the country's current account deficit of 3.5% of GDP. In India, software and business services exports stood at roughly 8.5% of GDP, compared with a current account deficit of 0.5% of GDP. So, services exports are more than just a source of growth and employment. They're a key pillar of external stability, providing an important buffer for the balance of payments and serving as a crucial source of support for the peso and the rupee.

Are services exports showing signs of disruption?

India's software services exports show little sign of AI-driven disruption. Export growth remained robust at around 12% year-on-year in mid-2026, slightly above pre-pandemic rates. Software services exports have risen to roughly 5.2% of GDP from 3.3% before Covid.

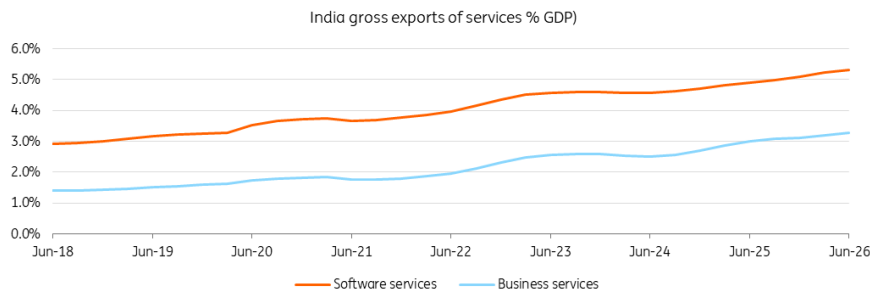
While part of the initial increase reflects a post-Covid surge in digitalisation and outsourcing demand, the trend has remained firmly intact even after that boost faded. In fact, software services exports have increased by a further 1ppt of GDP since the mainstream AI explosion with the launch of ChatGPT in 2022, suggesting that demand for Indian technology and business services continues to expand despite rapid advances in AI.

More interestingly, business services exports have accelerated sharply. They've more than doubled their share of GDP to 3.3% from 1.6% before Covid. This category captures many of the higher-value activities that firms increasingly offshore to India, including finance and accounting, risk management, legal and compliance support, engineering design, R&D, analytics, and consulting. As firms shift from traditional back-office outsourcing toward more knowledge-intensive work, demand for these services is holding up strongly despite rapid advances in AI.

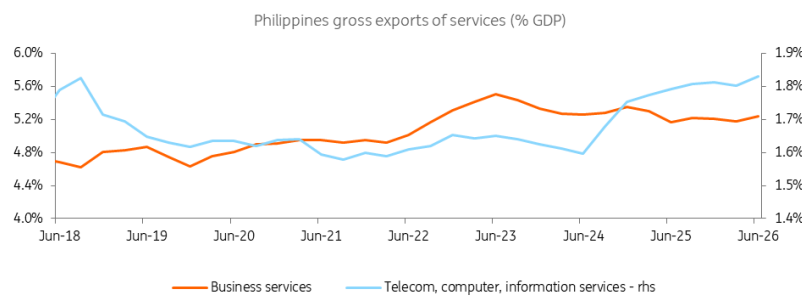
In the Philippines, this resilience has been notable, though growth has been more modest than in India. Telecom/computer services and business services exports have continued to expand, lifting their combined share of GDP to 7.1% by mid-2026 from 6.3% before the pandemic. The composition, however, has been different. Telecom and computer services have emerged as the main growth engine, while business services have moderated after the post-Covid surge in outsourcing demand. Even so, little evidence suggests AI has materially weakened external demand for Philippine services exports.

Yet strong export growth doesn't mean AI has no impact on the industry. Rather, the disruption is increasingly visible in the composition of outsourced work and the skills in demand.

India is seeing a sharp acceleration in business services exports



Philippines – computer services take the lead



Source: CEIC

AI is changing the nature of work, not eliminating demand

While BPOs have traditionally relied on repetitive, rules-based tasks, AI is increasingly automating these activities. Large language models are improving efficiency in customer support, legal reviews, claims processing, document verification and data entry, allowing many tasks to be completed in a fraction of the time previously required. The disruption is spreading beyond text. AI-powered voice assistants are becoming more capable of handling customer service interactions. AI-assisted coding tools are making software development faster and less labour-intensive.

As a result, industry growth is gradually shifting away from routine processing activities towards analytics, software development and other higher-value services. To understand where this growth is occurring, it's useful to look more closely at exports of all digitally delivered services (DDS). They capture a broader range of cross-border business and technology services delivered electronically, including both outsourced activities and work undertaken through multinational Global Capability Centres (GCCs).

Global trade patterns favour higher-value services

The composition of global DDS exports suggests that higher-value services are becoming increasingly important. The largest category is other business services, which account for

around 40% of total DDS exports and include research and development, professional consulting, management and legal services. This is followed by computer services (20%), financial services (16%) and charges for the use of intellectual property (12%).

This is particularly relevant because GCCs increasingly undertake activities that fall within the "other business services" category, including finance, risk management, analytics, technology and R&D. Given the rapid expansion of GCCs in both India and the Philippines, DDS provides a more comprehensive measure of the sector's performance and resilience to AI.

India is gaining share in higher-value services

India's strength lies in business services, the largest component of DDS exports. This arguably puts the country in a better position to withstand AI's impact, as demand is increasingly shifting toward higher-value, knowledge-intensive work rather than routine tasks.

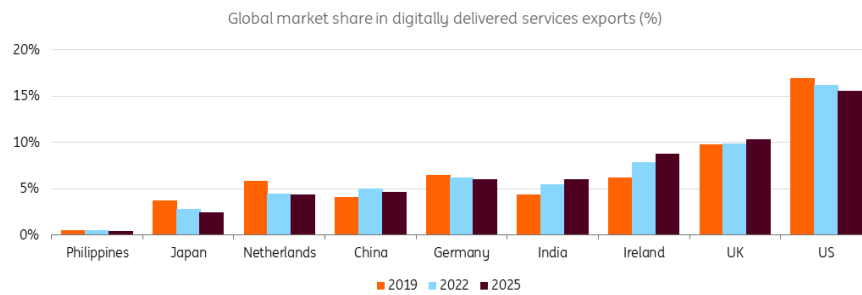
Since 2022, India's DDS exports have grown by 45%. This outpaced global growth of 32% and allowed the country to gain market share despite weaker performance in several large Asian economies, including China and Japan. Much of this growth has come from other business services, which have expanded at an average annual rate of 15% since 2022, significantly faster than global growth of 9.3%.

India's DDS exports are outpacing global growth



Source: World Trade Organisation

India is emerging as a bigger player in global DDS

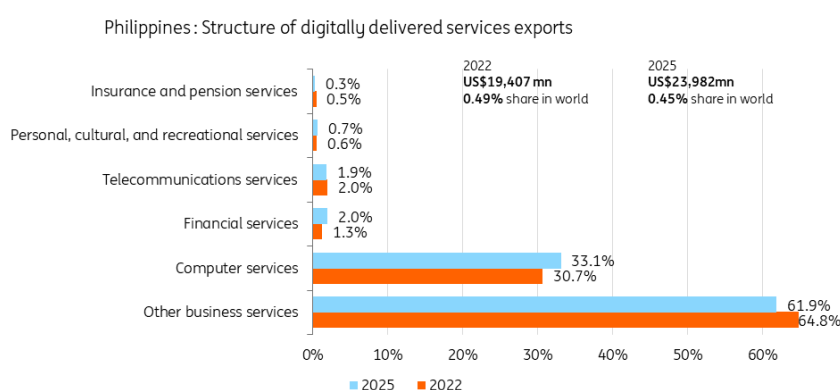


The Philippines is shifting its mix

The Philippines presents a somewhat different picture, with the composition of services exports evolving rather than market share expanding. While the country's share of global DDS exports has remained broadly unchanged since 2022, the export mix appears to be evolving. While DDS exports have grown by 24% since 2022, financial services and computer services are increasingly driving growth rather than traditional business services. Financial services exports have expanded by around 25% per year since 2022, while computer services exports have also grown strongly.

In other words, while India is gaining share through its strength in business services and GCC-driven activities, the Philippines appears to be adjusting by increasing its exposure to faster-growing segments such as financial and computer services. The common theme across both countries is that AI is changing the composition of services exports. Yet there's little evidence so far that it's causing outright contraction in export revenues.

Composition of Philippines services' exports is changing



Is employment under pressure?

The Philippine IT-business process management (IT-BPM) sector has a much larger footprint

than its direct employment share suggests. According to the ILO, more than a quarter of jobs in the Philippines are potentially exposed to GenAI, the highest share among ASEAN economies with comparable data. However, exposure does not necessarily imply displacement. Only a small fraction of jobs, estimated at around 4%, fall into the highest-risk category for automation. The vast majority are more likely to experience productivity gains than outright replacement.

This distinction is important. While the Philippines is among the economies most exposed to AI-driven change, the evidence so far points to job transformation rather than job destruction. Data on employment, particularly sector-level employment, are not readily available for either India or the Philippines. As a result, we rely on the closest available proxies. For the Philippines, we combine employment data for the information and communication, professional, scientific and technical services sectors. By this measure, employment has grown by around 4.5% over the past year, with the recent readings remaining close to their long-term trends.

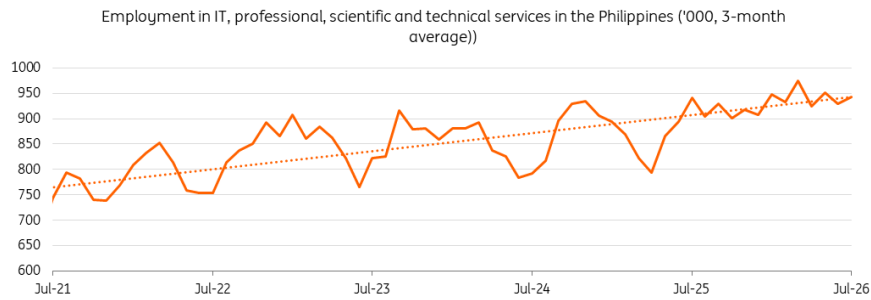
The evidence from India points in a similar direction. Rather than widespread job losses, the impact of AI appears to be showing up through slower hiring and changing skill requirements.

As per news reports, India's top IT firms added just 17 net employees in the first nine months of FY2026, down sharply from the previous year. Entry- and mid-level roles face the greatest pressure. This points to rising productivity and lower labour intensity as AI adoption accelerates.

Yet the broader industry continues to expand. The National Association of Software and Service Companies (NASSCOM) expects India's technology workforce to reach around 6 million workers in FY26, up 2.3% YoY. AI may be reducing the need for traditional hiring, but it is also creating demand for different skills.

This is partly because demand itself is evolving. While traditional IT firms are hiring more cautiously, GCCs continue to expand and absorb higher-skilled talent. Government outsourcing is growing, IT services are moving deeper into smaller cities, and demand for software, analytics, AI and cybersecurity talent remains strong. Even as AI writes more code, humans remain critical for designing, testing and deploying solutions.

Philippine IT and professional services employment remain on trend



Source: CEIC

Conclusion

The evidence so far suggests that AI is reshaping the composition of services exports and employment in India and the Philippines, but not yet causing a broad-based decline in exports or jobs. The bigger story is one of upgrading, with growth increasingly concentrated in higher-skilled, more technology-intensive activities.

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Article | 15 September 2026

RATES SPARK

Rates Spark: How about a 50bp hike? Now that would be quite the statement

Close your ears Mr President, but 50bp might be the right move, as it *could* be more fitting with how Chair Warsh *might* like to pursue policy. We re not calling for it, as we go for 25bp. But, is Chair Warsh just going to deliver the market discount? Really? After all that we ll do things differently talk? This is why this meeting is so intriguing



A 50bp rate hike by the Federal Reserve could be the right move (Mr President), although we think it will be 25bp instead - the market discount

We think a 25bp hike. But lets discuss

So, how are we positioned ahead of the Fed decision? Basically, the Federal Reserve *must* hike, and if it doesn't, it has quite some explaining to do, as a hike is practically fully discounted. The issue is just that. Chair Warsh would be delivering on the market discount, one that he, to a significant extent, manufactured through guidance (from his Jackson Hole speech). This is precisely the round and round that Chair Warsh voiced as quite sub-optimal: the circular from Fed guidance to the market discount to Fed delivery of that discount. There are two alternatives. One is no change in rates, which is not impossible given that we're still getting our heads around Warsh. But still, quite unlikely, partly as it could really kill off the back end.

The other option is to hike by 50bp. Doing so would see the Fed take some degree of control of

the situation, which may well be more preferable from Chair Warsh's perspective. Presumably, such a move would not be followed by forward guidance (as that's not what he likes), but it could still be "guided" as akin to a "one and done", or at the very least, getting ahead of the curve, through a chunky "insurance hike". That's the reward. But the risk could be market instability. The back end *should* be comforted by this, as the Fed would be seen to be actively protecting it. But it could just as easily freak out the back end, as it validates the 100bp rise seen in the 10yr yield in the past half year, and it engineers a follow-through sell-off. All things considered, this is the move that is more likely to tame the back end (if it can be tamed at this juncture).

For clarity, we're going for 25bp. See more [here](#). And for our views on longer tenor rates, see more [here](#).

Term premium can keep building, bear steepening curves

Rate markets continue to show volatility and higher longer rates suggest not everything is about near-term central bank expectations. The term premium is doing its own thing and adds uncertainty to the rates outlook. Even if oil prices were to ease lower from here, other factors might keep the long end sticky at elevated levels. For one, the yield on a 30Y Japanese government bond is rising rapidly again. Meanwhile, lower liquidity at such longer tenors in the euro swap space is adding to the volatility. US deficit concerns are also unlikely to fade.

The question is then, who wants to jump in at these higher rates. Exposures to long-duration bonds are typically a hedge against recession risk, but this doesn't seem a focus for markets currently. Typically, the term premium can keep rising in favourable economic circumstances as growth and positive sentiment add upward pressure. Yet we cannot forget the flip side of this. Booms are followed by busts. Timing is of course the issue here. We could be at the beginning of a cyclical upswing driven by AI as the driving engine, or we could be at peak global growth followed by a cooling from here onwards. Plenty of arguments for both directions. For now, we think the upward pressure can sustain. For 2027 we are, however, more pessimistic, especially on the US economic outlook.

Wednesday's events and market view

The Fed will take the spotlight on Wednesday. By now, the market is pricing an over 90% probability of a hike, which would take the Fed funds target range to 3.75-4%. One thing market participants will watch is whether the dot plot pencils in more tightening by the end of this year.

Ahead of the Fed meeting there will be some notable data releases over the course of Wednesday, starting with the UK inflation numbers for August. In the eurozone we will get the industrial production data for July. Of further interest surrounding the debate

about second-round inflation effects will be the European Central Bank's release of its wage tracker. Speakers scheduled for the day are Vujcic and Nagel from the ECB.

Turning to the US, import/export prices can round off the inflation picture; retail sales are expected to have improved in August. We will also get the mortgage application numbers and the NAHB housing market index.

In primary markets, Germany taps two ultra-long bonds (€2.5bn).

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Article | 15 September 2026

POLAND

Fuel prices push Polish inflation higher as energy outlook deteriorates

Poland's August CPI inflation was confirmed at 3.4% YoY, with rising gasoline and diesel prices accounting for most of the increase. Escalating geopolitical tensions and higher oil and gas prices have worsened the near-term inflation outlook, making any rate cuts from the National Bank of Poland unlikely before the second half of 2027



Poland's inflation outlook is deteriorating as the energy crisis intensifies

August inflation confirmed at 3.4%

Poland's StatOffice confirmed its preliminary estimate of August consumer price inflation at 3.4% year-on-year. Goods prices increased by 2.5% YoY, compared with 2.0% in July, while services inflation edged up to 5.6% YoY from 5.5%. Within the goods category, fuel prices rose particularly sharply (up by 5.2% month-on-month). Among services, transport prices increased by 10.6% MoM, driven partly by international airfares. Package holiday prices also rose significantly (3.8% MoM).

More expensive fuel was the main source of inflation

The rise in fuel prices was the main driver of the increase in inflation in August. We estimate

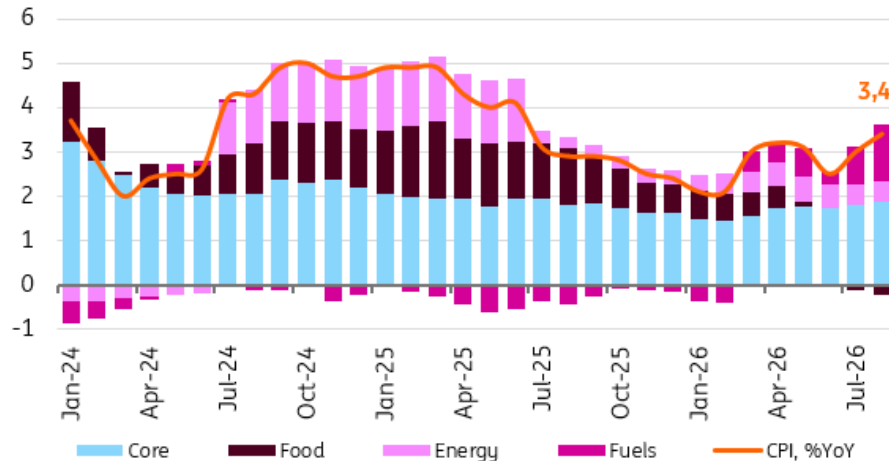
that it added around 0.5 percentage points to the annual inflation rate compared with July. Fuel price inflation accelerated to 24.2% YoY from 15.8% a month earlier.

Food and non-alcoholic beverage prices moved in the opposite direction. Their annual decline deepened to 0.9% in August from 0.4% in July. From the inflation perspective, conditions in the meat, livestock and dairy markets remain favourable. Meat prices fell by 0.4% MoM, while dairy prices also declined by 0.4% vs the previous month. Fruit and vegetable prices continued to fall sharply, dropping by 2.7% MoM and 3.8% MoM, respectively. Competition between the largest retail chains remains intense, with retailers continuing to offer substantial discounts and promotions.

We estimate that core inflation (CPI excluding food and energy prices) increased marginally to 3.2% YoY in August, from 3.1% in July. Energy accounted for more than half of the annual increase in consumer prices in August. Outside the energy component, however, broader price pressures remain limited by weakening demand. Slowing wage growth and higher fuel prices are constraining household spending. Private consumption growth eased to 2.8% YoY in 2Q26, from 3.3% YoY in the first quarter of the year.

Inflation growth driven by fuels

CPI, %YoY, percentage points



Source: GUS, ING.

Prolonged Middle East tensions worsen the energy outlook

Escalating tensions in the Middle East, the lack of an agreement concerning the Strait of Hormuz, the threat posed by Houthi rebels to shipping in the Red Sea and the Bab al-Mandab Strait, along with the damage to Saudi Arabia's East-West oil pipeline have pushed crude oil prices back above US\$100 per barrel. As a result, the near-term inflation outlook has deteriorated, mainly because of the risk that fuel prices will remain elevated for longer.

Alongside high oil prices, recent weeks have also brought a renewed increase in European natural gas prices. The one-month TTF contract is currently trading at around €83/MWh, up from around €30 in late February and around €50 in mid-July. What is more, wholesale electricity prices went up significantly (2027 base forward to PLN590 per MWh in mid-September from around PLN500 in late August). This could result in a significant increase in regulated household electricity and natural gas prices under tariffs approved by Poland's Energy Regulatory Office (URE), which are due to come into effect at the beginning of 2027.

NBP rate cuts unlikely before the second half of 2027

Each additional month of elevated fuel prices increases the risk of second-round inflation effects. Nevertheless, the current environment remains significantly less inflationary than during the Covid-19 pandemic and following Russia's invasion of Ukraine. Both in Poland and abroad, household income constraints are limiting companies' ability to raise prices. In our view, the likelihood of interest rate increases on the scale currently priced in by the market remains low.

Should geopolitical tensions persist over the coming months, Poland's CPI inflation could rise towards 4% YoY in the near term. A more pronounced decline in inflation is unlikely before the second half of 2027. We expect the Monetary Policy Council (MPC) to keep interest rates unchanged at least until the end of 2026 while monitoring risks related to developments in the energy market. In our view, any easing of monetary policy is unlikely before the second half of 2027.

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Article | 15 September 2026

FX

FX Daily: Dollar finally catching up with its drivers

The dollar had a strong start to the week, finally realigning with a set of supportive short-term drivers: front-end rates, higher energy prices and soft risk sentiment. We could see some stabilisation ahead of tomorrow's key FOMC announcement, but risks remain on the upside for USD. Elsewhere, we have little faith in this GBP outperformance



The dollar is having a strong start to the week

➔ USD: Finding strength

US 10-year yields touched 5.0% yesterday. As our rates team discussed [here](#), that's no reason to panic: 5% is a tolerable 50bp premium over the upper bound of our estimate for the neutral 10y rates (4.0-4.5%).

The relevant question for FX is whether that represents a pain threshold for the Treasury. Markets were disappointed with the \$6bn buyback operation, meaning any new intervention has a clear higher bar. Remember, larger unscheduled buybacks should be dollar-negative regardless of their effectiveness in capping yields. For now, Scott Bessent may be willing to let a largely oil-fuelled bond rout run its course, perhaps counting on Wednesday's likely Fed hike to at least keep inflation expectations from breaking loose.

Yesterday, the dollar finally caught up with the tailwinds we've highlighted over the past couple of weeks: supported front-end rates, high oil prices, and a soft risk environment. Yesterday was DXY's strongest session since the day of Warsh's Jackson Hole speech. What's surely helping the index is the yen losing much of its idiosyncratic push. USD/JPY was briefly back at 155.0, and as we discussed [yesterday](#), we think upside risks extend to 156-157 in the near term.

The most realistic driver of a USD correction today is any positive development in the Gulf. The latest headlines on reduced Saudi output and delayed negotiations have continued to support Brent at around \$107/bbl.

The dollar may stay in tighter ranges until the FOMC delivers its verdict tomorrow evening: today's calendar includes only the Empire Manufacturing and weekly ADP payroll figures. Still, the broader backdrop keeps the odds in favour of further dollar gains, in our view. DXY at 100.0 remains a credible near-term target.

Francesco Pesole

➔ **EUR: 1.150 in sight**

This morning's ZEW in Germany is expected to keep improving. Consensus is looking at a jump from 34 to 40 in the expectations gauge and from -61 to -52 in the current situation one. That's effectively the only data release with any market-impact potential this week – unless final August CPI prints show large revisions. Anyway, the echo of last week's hawkish ECB hike remains a more relevant driver for any euro resilience at this stage.

Our models suggest EUR/USD is close to its short-term fair value model, slightly leaning towards undervaluation. That said, global equities and short-term rates have the highest betas on EUR/USD at the moment: a risk-off, hawkish hike by the Fed tomorrow could easily take the pair to our 1.150 short-term target.

Francesco Pesole

⬇ **GBP: Not trusting the EUR/GBP downtrend**

The pound has shown good resilience to the dollar's advance. EUR/GBP is down by around 0.5% since Friday, perhaps on some precautionary positioning ahead of the Bank of England meeting on Thursday.

But as discussed in our [preview](#), we think the risks are actually on the dovish side this week. Unlike the ECB, we suspect BoE doves will hold their ground and stress that there is no evidence price pressures are extending beyond energy prices. We also see some risk that Governor Andrew Bailey himself pushes back against aggressive market pricing (45bp by December, 100bp by June).

We struggle to see EUR/GBP falling much further from here. Most risks appear on the upside in the coming weeks, from the monetary policy story mentioned above to potential fiscal headlines ahead of the late October budget to growing pressure on Downing Street to allow independence referendums in Scotland, Wales and Northern Ireland. Our target remains 0.87 for EUR/GBP.

Francesco Pesole

➔ **CEE: Higher rates offer currencies a buffer after the global shock**

The regional calendar is relatively light this week, with Thursday's CNB meeting the only key event. With local developments having limited market impact, global drivers have taken centre stage. Yesterday's shock – a post-weekend surge in energy prices, a rise in the 10-year US Treasury yield to 5%, and a stronger US dollar – hit CEE markets hard, weakening currencies and sharply repricing rates higher across the curve. Front-end markets in the CEE3 priced in an additional 10-20bp of rate hikes on average. Although risk-off sentiment is likely to persist today, higher front-end rates should help cushion currencies against further losses and create scope for stabilisation.

Our EUR/CZK view is broadly unchanged: we expect the pair to approach Thursday's CNB meeting near 24.300, with further upside if the central bank adopts a dovish tone versus market pricing, which is our baseline. The EUR/PLN rate differential recorded the region's largest increase yesterday and the zloty could stabilise below 4.340 as markets look through dovish comments from MPC members after the NBP decision. EUR/HUF remains vulnerable, reflecting its typically high sensitivity to gas prices, and may rise further. With the Hungarian market still pricing in roughly one rate cut, the forint could again test levels above 368. Support may not emerge until next week's NBH meeting, which we see as carrying hawkish risks.

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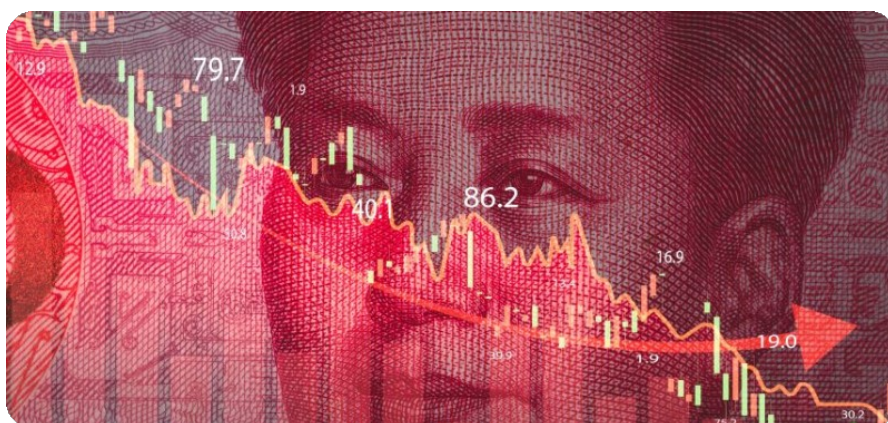
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Article | 15 September 2026

CHINA

China's weak domestic demand continues to undermine growth

Weak Chinese consumption and investment persisted amid soft domestic demand, while solid external demand continues to support industrial activity. Overall, China's third-quarter GDP looks likely to stay near or below the low-end of the target range



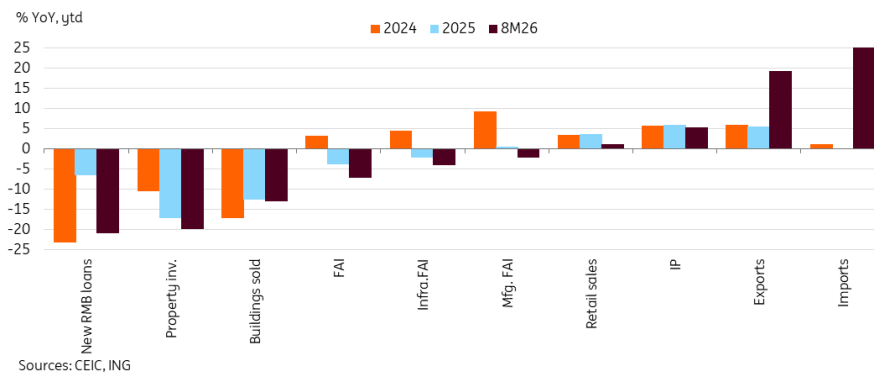
Weak August suggests 3Q growth will remain soft

Today's data suggest that China's economy continued to face downward growth pressures in August. Barring an unexpectedly strong September, GDP growth will likely remain sluggish in the third quarter, and risks to our 4.5% year-on-year forecast - and our 4.6% call for 2026 - both look tilted to the downside. Policy support has been rather limited to date. As a result, we continue to see growth and investment momentum remain sluggish.

The bright spot remains industrial activity, where resilient external demand and China's own tech and industrial upgrading continue to drive growth.

Divergence continues to widen within China's economy. Hi-tech and external demand-focused sectors continue to perform well, but most other categories are underperforming.

China's economic indicators have been quite uneven this year



Retail sales deceleration highlights weak consumption

Retail sales slowed to 0.4% YoY in August, down from 0.6%, weaker than expectations (market: 0.8%, ING: 0.7%). This was the second straight month of deceleration, bringing year-to-date retail sales growth down to just 1.1% YoY.

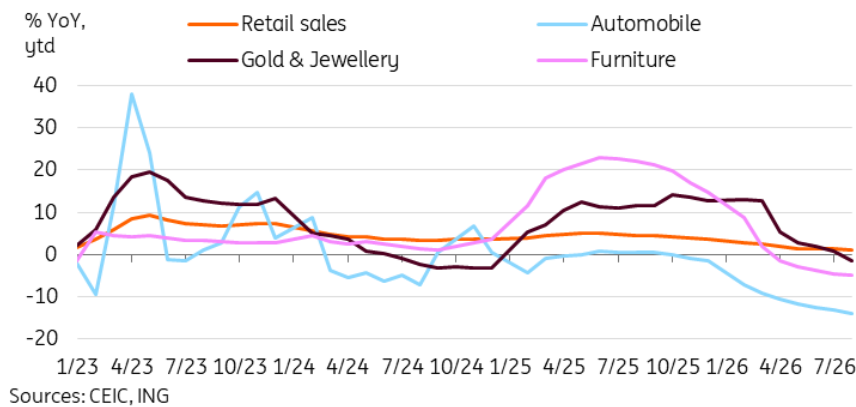
Looking at the breakdown, we continued to see a significant drag from a few key categories. Auto sales were the biggest drag on retail sales, down 18.5% YoY. Despite strong exports, China has been both the largest producer and the largest consumer of electric vehicles, and the drop in domestic demand has weighed on the auto sector this year. Furniture sales also remained well in contraction territory (-7.9%), but household appliance sales bounced back to 2.3% YoY, the first positive growth since September 2025.

Gold and jewellery sales fell sharply by -17.5% YoY, a 4-month low, despite a recovery in gold prices in August.

Two categories bucked the trend with strong growth. Communication devices grew 27.3% YoY, while tobacco and alcohol rose 12.5%. Consumer staples categories such as grains and oils (4.0%) and beverages (4.9%) continued to outperform.

Recent measures to support consumption include interest rate subsidies for consumer loans. These are expected to have a modest, at-best, impact on headline consumption growth. Moving forward, as the drag from the trade-in policy weakens, we may see some stabilisation in retail sales, but a more significant turnaround will likely require additional support.

Several categories are causing a big drag on overall consumption



Hi-tech only silver lining in otherwise dismal picture

China's fixed asset investment growth fell -7.2% YoY ytd through the first eight months of the year, largely in line with expectations (market: -7.1%, ING: -7.4%), and decelerated for a sixth consecutive month.

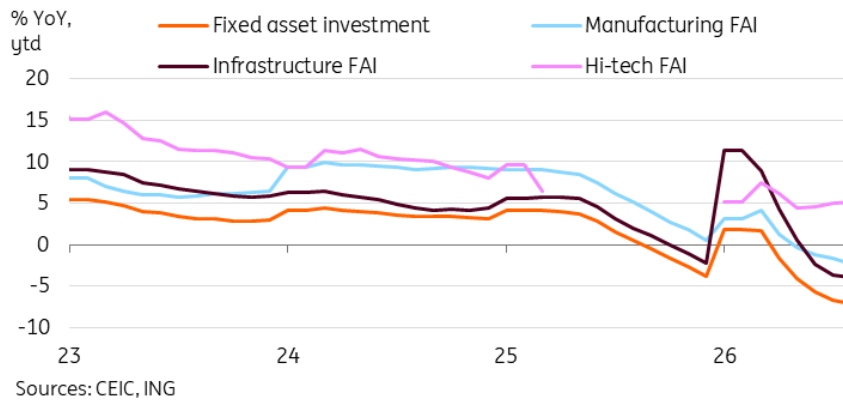
In terms of the key categories for FAI, hi-tech FAI is the only highlight in the data, up 5.2% YoY ytd from 5.0% YoY ytd in the first seven months of the year. Resources continue to funnel into the AI race, industrial upgrading, and general tech self-reliance themes.

Unfortunately, the good news pretty much ends there. Other categories generally saw slumps worsen in August. Infrastructure (-4.0%), manufacturing (-2.3%), and real estate (-19.9%) investment all fell.

Public sector investment (-3.6%) continued to outperform private sector investment (-10.1%). However, efforts to accelerate fiscal expenditures in 2H26 have yet to translate into a turnaround in public sector investment. We will see if these efforts can help FAI bottom out in the coming months.

For now, FAI looks like a clear drag on growth, and the data is a microcosm of China's K-shaped divergence, with resources pouring into tech while other areas languish. Negative FAI growth hasn't translated into negative gross fixed capital formation in the GDP data, and the relationship between the monthly data and the GDP data has weakened this year.

FAI looks bleak outside of hi-tech sectors



IP beats forecasts amid solid external demand

Industrial production rose 5.2% YoY in August, accelerating from 4.5% in July, outperforming expectations for a smaller rebound (market: 4.8%, ING: 4.9%). Year-to-date growth remained at 5.3% YoY, with industrial production the clear standout amid weakness in consumption and investment.

Manufacturing continued to outperform the headline, growing 6.1% YoY, while equipment manufacturing and high-tech manufacturing rose 12.1% and 16.7%, respectively. In contrast, mining output fell to -1.4%, highlighting that the improvement was concentrated in manufacturing rather than broad-based across the industrial sector.

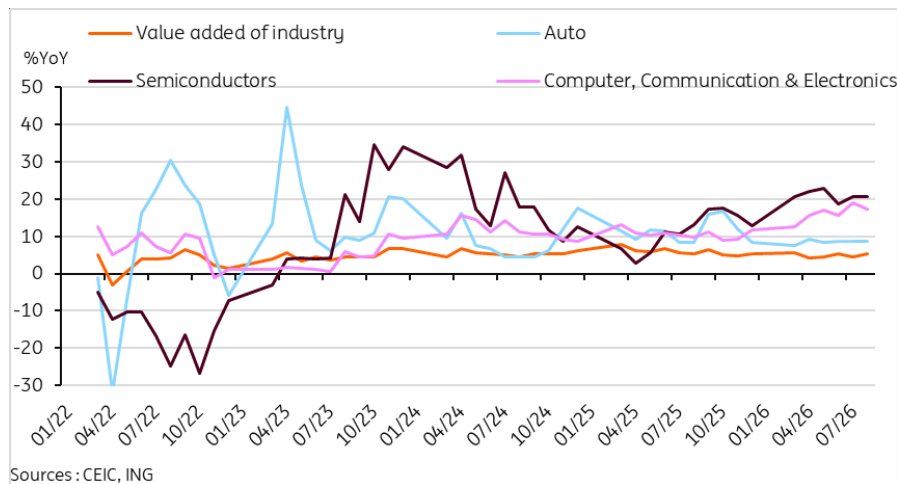
At the industry level, strength remained concentrated in higher-end manufacturing. In value-added terms, computer, communication and other electronic equipment manufacturing rose 17.2% YoY, followed by rail, ships, aerospace and other transport equipment at 13.4%, special equipment at 11.4%, and electrical machinery at 9.9%. Export delivery value also rose 11.1% YoY in nominal terms, consistent with strong merchandise export growth. This indicates that external demand remained an important support for production.

Product-level data showed a similar pattern. Lithium-ion battery production rose 57.2% YoY, industrial robots increased 34.6%, new energy vehicles rose 21.9%, and semiconductor integrated circuits increased 20.6%. However, solar cells, smartphones and microcomputer equipment recorded double-digit declines, highlighting continued divergence within the advanced manufacturing sector.

Traditional property and construction-linked industries remained weak. Cement (-11.7%), flat glass (-7.6%), and steel products (-5.5%) all contracted year on year.

Overall, industrial production regained momentum in August, but growth remains heavily reliant on high-tech manufacturing and exports.

Industrial production continues to clearly outperform



Property prices continue the slow grind downward

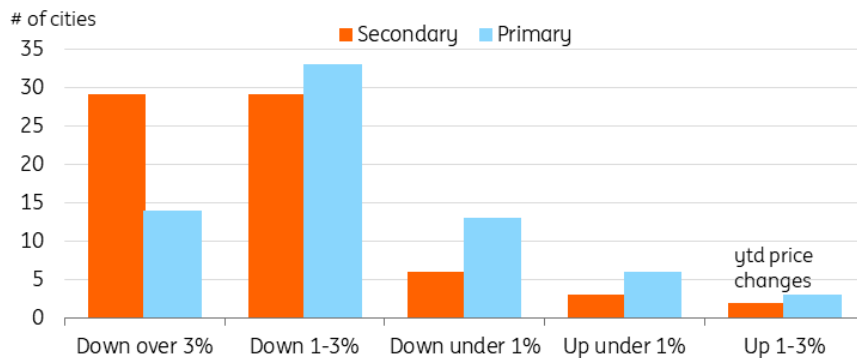
China's National Bureau of Statistics released its 70-city sample of property prices for August. New home prices fell by -0.17% month-on-month, while used home prices dipped by -0.31%. This was similar to the pace of declines seen in July.

The city-level breakdown showed that 21 of 70 cities saw new home prices stabilise or pick up in August, down a little from July's 23. Just 8 of 70 cities saw secondary market prices stabilise or pick up in August, unchanged from July.

The silver lining was another solid month for property prices in China's tier 1 cities, with prices improving in Shanghai, Shenzhen, and Guangzhou, though prices in Beijing edged down. A bottoming-out in property prices would likely start in the core, where demand is most genuine.

The entire property sector remains a major drag on the economy, with investment down 19.9% YoY ytd. It's arguably one of the biggest overhangs on confidence, with the negative wealth effects holding back consumption and investment appetite. It has forced local governments to rethink financing models, as land sale revenue has dried up. A recent Beijing land sale was cancelled after only one developer bid at a land auction. There's still a long road ahead before this drag fades. Property prices need to stabilise, and inventories need to normalise before we might see a recovery of investment demand.

Most cities continue to see prices falling



Sources: CEIC, NBS, ING

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